Do Student Debt Relief Policies affect Pre-College Behaviour? Evidence from New York's "Get on Your Feet" Program

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Abstract

While numerous papers have studied the effect of student debt cancellation and relief programs on future borrowing and economic decisions, little research has looked into whether students respond to these programs pre-graduation and change their academic outcomes. In this paper, I utilize administrative data on New York State High Schools and their graduating cohorts post-graduation plans to study whether "Get On Your Feet", a debt relief program introduced in 2015 for NY high school graduates to in-state colleges, affects these graduation decisions. Exploiting the fact that schools with lower SES cohorts have higher relative rates of in-state to out-of-state college-goers, I estimate in-state college-going rates using two separate methods involving pre-policy school data, and fit this estimate to years around the debt-relief program. Using these estimates, I then run a Differences-in-Differences (DiD) regression that studies the differences in college-going rates for schools of high and low policy exposure. I find some evidence that the debt relief program may have raised college shares for 4-year programs and lowered 2-year program shares, suggesting a possible substitution effect, though issues with reliability and endogeneity of estimated in-state college shares leaves room for further research.

1 Introduction

In U.S educational politics, one of the most popular issues is that of student debt. As of 2025, total student debt in the U.S stands at over 1.8 trillion dollars, with the average student debt being around 42,673 dollars per student (Hanson, 2025). Given the burden of high student debt, with over 91% of student debts being federally loaned, many political figures have pushed for policies aimed at mass relief or cancellation of student loans as a means for combating increasing living costs. While most of the research on student debt relief polices has been it's effect on future borrowing decisions (Dinerstein et al., 2023, 2025; Jacob et al., 2024), little research has been done on the effect of student debt relief programs on the academic behaviours of students pre-college and during college. In this paper, I focus on students in their senior years of high school and study whether "Get On Your Feet", a student loan relief policy introduced in 2015 in New York State, affected their decisions to go to post-secondary program.

To study this effect, I exploit the fact that "Get On Your Feet" is only eligible for students who graduated from a high school and post secondary institution in New York State. While data on the specific rate of in-state college enrolment is not available for policy years, it is available for the years preceding "Get on Your Feet". Using data from five of these pre-policy years, I estimate the in-state college enrolment rates for school years around the debt relief program using two separate methods. In my first method, I use the school's socio economic status (SES) characteristics , regressing in-state college rates on SES characteristics for pre-policy years and fitting these estimates to the years around the introduction of "Get On Your Feet". Given the higher opportunity cost and burden of taking out large student debt for students from poorer socio-economic backgrounds, it can be hypothesized that these students may be incentivized to go to a post-secondary program with the knowledge that their debt risk won't be as high. Along with this predictive regression, I run a second estimation method which takes the average in-state rates for schools in the pre-policy years, and then assign schools over the 50% in-state mean college rate threshold to the treatment group. Finally, taking fitted values for in-state college enrolment, I then employ a differences-in-differences design that compares schools in the predicted treatment and control in-state enrolment cohorts before and after the introduction of the program.

While little research has been done into the direct effects of debt relief polices on academic decision, there is a decently sizeable literature that studies the effects of student loans generally on academic outcomes. One such example is Bui (2024), who uses longitudinal data on students from the National Centre for Educational Statistics (NCES) to study the effect of student loan amounts on various academic outcomes, such as GPA and degree completion. In his analysis, Bui finds that an increase in loans of 1000 dollars increased a student's first-year GPA by a tenth of a point, with smaller positive effects observed for later undergraduate years and no significant effect on degree attainment. In contrast to Bui, other papers have found negative effects of student loan borrowing on academic outcomes. One such example is Bardsen et al. (2023), who uses survey data on 877 undergraduate business students and finds that students with debt below 10,000 dollars have a 7.8 percentage point lower likelihood of achieving a GPA above 3.5 compared to students with no debt. My paper deviates from this research not only in that I study debt-relief, rather than the loan themselves, but further study these polices on high school graduates to see whether graduates react to student loan reforms in their college enrolment decisions.

1.1 Background

“Get on Your Feet” is a debt relief policy introduced in 2015 by then state Governor Andrew Cuomo (2015), and later expanded from 2016 to 2019. The program aimed to help recent NY graduates by offering up to two years of relief on federally loaned debt, whereby 100% of a graduates monthly payments would be covered by the New York State Government. To qualify for the program, recent graduates needed to satisfy a number of conditions. Firstly, any qualified applicant must be a New York resident, who graduated from a New York High School and a New York University/College with no higher than a bachelors degree, resided and worked in New York State, and was making less than $50,000 annual gross income out of graduation (New York State, 2025). Furthermore, any graduate interested in applying was required to apply within 2 years of graduation, and must've currently been up to date on payments at the time of application. After implementation, the program made payments to New York graduates from 2015 to 2019, where the program was subsequently paused following the nation-wide federal loan moratorium during the COVID-19 pandemic (New York State, 2022).

2 Data

Our primary and only dataset for this research comes from the New York State Educational Department's (NYSED) report card database. The report card database is a yearly published dataset containing a wide variety of school indicator data and assessments results across all New York State counties, school districts, and schools. For the purposes of this project, we focus on a few sections of this database. The first section is titled "high school post-graduation plans of completes". This dataset records for each high school how many students graduated in a given year, and more importantly whether they had stated plans post-graduation, such as enrolling in a college program, going into the military, or going directly into the labour market. For colleges, there are two separate records for whether the college is a 2 year or 4 year program. Furthermore, Up till 2013 the report card database also divided college-going students into students going to in-state or out-of-state schools. This data is later used to construct the estimates of in-state college enrolment is used in our final DiD regression models.

The second section of the data used is titled "Demographic Factors". This section records various socio-economic characteristics of the school, including percentages of students on free-reduced lunch (RFL), minority students, gender, students who are English language learners (ELL), and students who are economically disadvantaged. For the pre-policy years, percentages economically disadvantaged students, female student, and disabled students are only observed for the 2013 school year. As such, our usage of SES covariates in part depended on the availability of the covariates across years.

Our final two sections of this data are titled "Staff" and "High School Completers". This set of data contains overall figures on total number of graduates, which are used as weights in our regressions, and data on the demographic make-up of school staff, such as percentage of teachers with specific credentials and classes taught by experienced staff. These observations are used for covariates in our regressions to control for variations in schooling quality and degree attainment which I feel are associated with SES.

In using these datasets, I focus on high schools in NY city from 2014 to 2017 for our policy relevant years, and derive estimated in-state enrolment rates from the 2009-2013 school years. For the relevant policy years, our dataset contains 3,592 observations from 907 New York high schools, comprising a total of 658,678 reported graduating students across the 2014-2017 school years.

On Table 1 and 2, I chart the summary statistics for high schools that send twice as many students to in-state four or two year college program versus out-of-state schools, and those that don't for the 2009-2013 school years. We observe that schools with significantly larger proportions of 4-year in-state college-goers generally have higher proportions of students on free lunch programs, higher proportions of minority students, and higher proportions of students who are economically disadvantaged. Proportionately, we observe inverse proportions for schools with 2-year college rates. The likely reason for these inverse proportion is that schools with high 2-year college going rates tend to be of lower SES, with generally low percentages being from out-of-state colleges. As such, the derived means likely reflect the magnitude of 2-year rates rather than the relative difference of two-year rates. Futhermore, it's important to note with both figures that the standard errors are high, often exceeding our means with the exception of economically disadvantaged and female students, whose lower errors may in part be attributed to their restricted sample sizes. Nonetheless, our initial evidence suggests that that schools of different SES characteristics are generally more heterogeneous in their in-state versus out-of-state college-going rates. This serves to help identify these schools as having a greater treatment effect from the introduction of the debt relief policy.

Table 1: Summary statistics For 4-year College Enrollment Rates

4-Year College	In-state $\leq 2\times$ Out-of-state	In-state $> 2\times$ Out-of-state
Free lunch (%)	23.183 (26.347)	42.534 (113.438)
Reduced-price lunch (%)	5.199 (4.394)	8.212 (7.987)
LEP (%)	3.010 (7.358)	8.707 (84.692)
Black (%)	13.420 (19.761)	19.940 (24.917)
Hispanic (%)	14.709 (18.527)	19.419 (23.263)
White (%)	65.487 (32.454)	54.273 (40.764)
Asian (%)	5.577 (8.421)	5.254 (10.563)
Female (2013, %)	49.602 (7.180)	49.283 (7.810)
Economically disadvantaged (2013, %)	31.522 (28.384)	52.788 (26.983)
Sample size	1151	3452

Notes: Summary statistics for schools with 4-year in-state college enrollment rates twice as high as out-of-state enrolment rates. Data is for the years 2009-2013 school years, with means for each variable reported with standard errors in parentheses. Estimates on economically disadvantaged students are only reported for the 2013 year, given limitation in pre-policy data.

Table 2: Summary statistics For 2-year College Enrollment Rates

4-Year College	In-state $\leq 2\times$ Out-of-state	In-state $> 2\times$ Out-of-state
Free lunch (%)	50.460 (29.734)	37.234 (101.085)
Reduced-price lunch (%)	7.086 (4.927)	7.472 (7.448)
LEP (%)	8.239 (12.771)	7.247 (74.771)
Black (%)	29.318 (26.041)	17.871 (23.707)
Hispanic (%)	27.966 (23.084)	17.855 (21.935)
White (%)	29.347 (32.704)	58.179 (38.984)
Asian (%)	12.523 (17.586)	5.050 (9.543)
Female (2013, %)	49.308 (8.083)	49.364 (7.649)
Economically disadvantaged (2013, %)	62.962 (30.029)	47.087 (28.673)
Sample size	163	4440

Notes: Summary statistics for schools with 2-year in-state college enrollment rates twice as high as out-of-state enrolment rates. Data is for the years 2009-2013 school years, with means for each variable reported with standard errors in parentheses. Estimates on economically disadvantaged students are only reported for the 2013 year, given limitation in pre-policy data.

3 Methods

Given that we do not have student-level data, and that all students in the NY high school system that go to an in-state college are theoretically eligible to receive debt relief under this program, then we must proxy the treatment effect on a particular school. To do this, I proxy policy exposure by estimating the college-going rate to in-state schools. Given that the "Get off your Feet" program is only eligible for students who went to both an in-state high-school and in-state university, then we hypothesize that school with higher in-state college going rates will have a larger policy exposure. To accomplish this, I use the pre-2014 NYSED school report cards, where data on college-going rates was separated for those who went to an in-state college, and those who went to an out-of-state college. While these two observation are merged in later datasets, I exploit this pre-policy data to estimate a in-state college-going rate for school during the policy years using two separate methods. For the first method, I first run a regression of the form

$$\text{College-in-state}_{s,t} = \delta D_{s,t} + \epsilon_{s,t} \tag{1}$$

Where $\text{College-in-state}_{s,t}$ is the in-state college going rate, and $D_{s,t}$ is a set of covariates on school socio-economic characteristics. The specific covariates used include percentages of students on free or reduced lunch programs, percentage of students who are classified as limited English proficient, and percentages of Black, Hispanic, and Asian students respectively. Along with these demographic covariates, we also include covariates on other graduation plans, such as percentage of graduates who enter the military, and percentage of graduates who directly enter the labour force.

Using this model and deriving coefficients on our pre-policy years, I subsequently fit model estimates to our relevant policy years (2013-2017) to derive $\text{EligShare}_{s,t}$, which is an estimate in the in-state college-going rate each high school thorugh fitting of model (1) onto policy relevant years.

Having derived our proxy treatment variable, I model the following weighted least squares regression (WLS) as follows,

$$\text{Collegerate}_{s,t} = \gamma(\text{Post}_t \times \text{Elig}\hat{\text{S}}\text{hare}_{s,t}) + \mu X_{s,t} + \delta_s + \eta_t + \epsilon_{s,t} \tag{2}$$

Where $\text{Collegerate}_{s,t}$ is the share of students going to either a four or two year college program at school s in year t, Post_t is an indicator for whether it's before or after the introduction of the debt relief program, $\text{Elig}\hat{\text{S}}\text{hare}_{s,t}$ is the aforementioned predicted in-state college share, and $X_{s,t}$ is a set of covariates not included in our predicted regression, such as percentages of economically disadvantaged students and teacher characteristics, which are not available in pre-policy years. Finally, δ_s, and η_t are school and time fixed effects respectively. Our primary coefficient of interest is γ, which measures change in the difference of college-going rates between low SES and high SES schools after the introduction of the debt relief program in 2015. Errors are clustered at the school level, and observations are weighted by the number of school graduates at each school. For this paper, I provide two estimates of γ, one as an intensity of treatment effect, where $\text{EligShare}_{s,t}$ is the exact estimated percentage, and a general treatment effect, where $\text{EligShare}_{s,t}$ is an indicator for whether a school has over 50% predicted in-state college rates.

The identifying assumption for our DiD models is that trends in the number of students going to college in low-exposure and high exposure schools are parallel before the introduction of this debt relief policy. On figures 1 and 2, I plot graphs of schools who were predicted to have over 50% in-state college enrolment under our $EligShare_s$ against their average 4-year and 2-year college-going rates along with the observed true in-state rates for the pre-policy years. Looking at both graphs, We observe that while our predicted trends seem to relatively parallel, our predicted trends strongly deviate from our true trends observed in pre-policy years, suggesting concerns about potential endogeneity in-state college-going rates that bias our estimated treatment group.

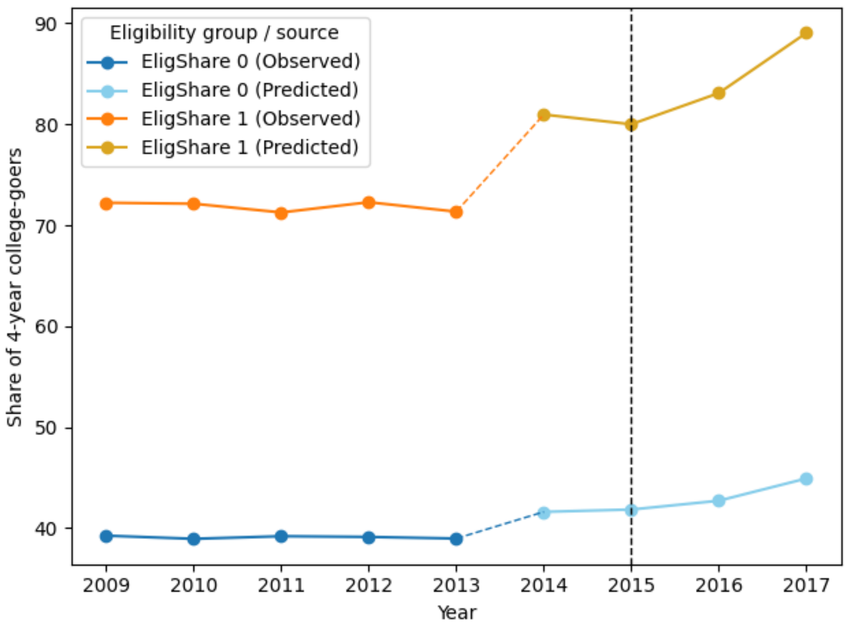

Figure 1: Trends in 4-year college enrolment rates by fitted regression dummy

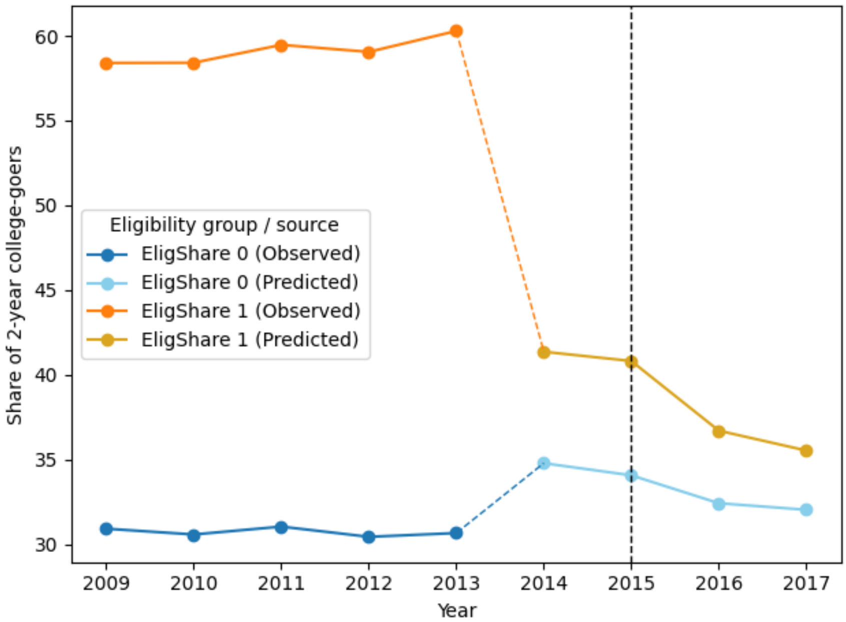

Figure 2: Trends in 2-year college enrolment rates by fitted regression dummy

To account for this discrepancy in observed versus predicted in-state averages, I use a second method of estimating in-state college enrolment using the average in-state enrolment in pre-policy years. Specifically, between 2009-2013, I derive the average in-state enrolment rates for each school. Having derived these averages, I then assign schools to the treatment or control group based on whether their pre-policy average is above the 50% threshold. This method assumes that in-state enrolment rates are sticky, where holding all else constant, schools with high or low in-state enrolment rates should maintain similarly high or low rates for the following few years. Thus, our treatment indicator is constructed by,

$$\text{Treat}_s = \mathbb{1}\left(\frac{1}{5}\sum_{t=2009}^{2013} \text{College-in-state}_{s,t} \geq 0.5\right) \tag{3}$$

Where we then run another WLS DiD regression of the form,

$$\text{Collegerate}_{s,t} = \gamma(\text{Post}_t \times \text{Treat}_s) + \mu X_{s,t} + \delta_s + \eta_t + \epsilon_{s,t} \tag{4}$$

Which is of a similar form to (2), with the primary difference being that $\mu X_{s,t}$ now includes our previous covariates used to predict in-state enrolment in (1).

Looking to figures 3 and 4, I plot the trends for this "trends assignment" method. While these new predicted trends more closely follow the observed trends in pre-policy years, it's clear that for 2-year college enrolment rates that our parallel trends assumption is more questionable, with what appears to be a pre-policy decrease in college enrolment rate predicted to have over 50% in-state enrolment rates.

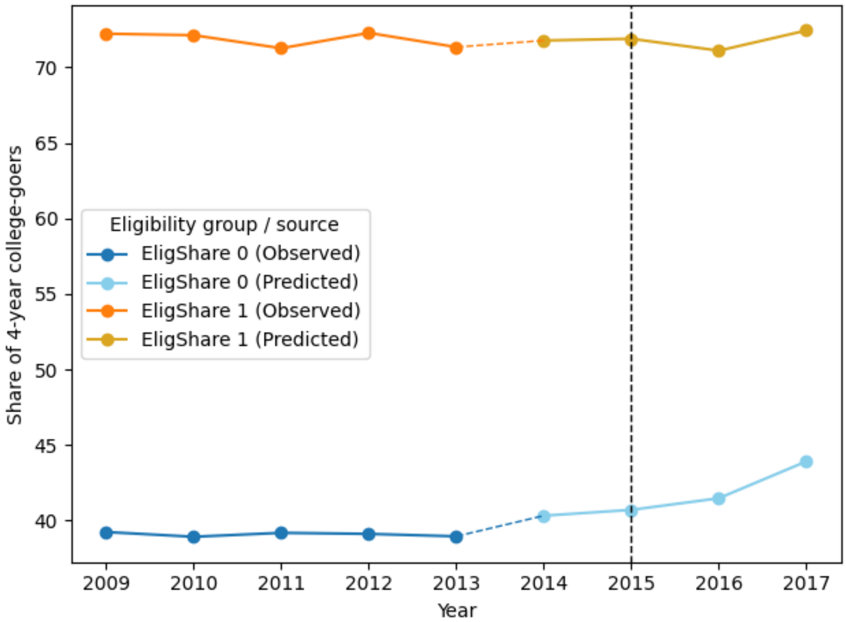

Figure 3: Trends in 4-year college enrolment rates by trends dummy

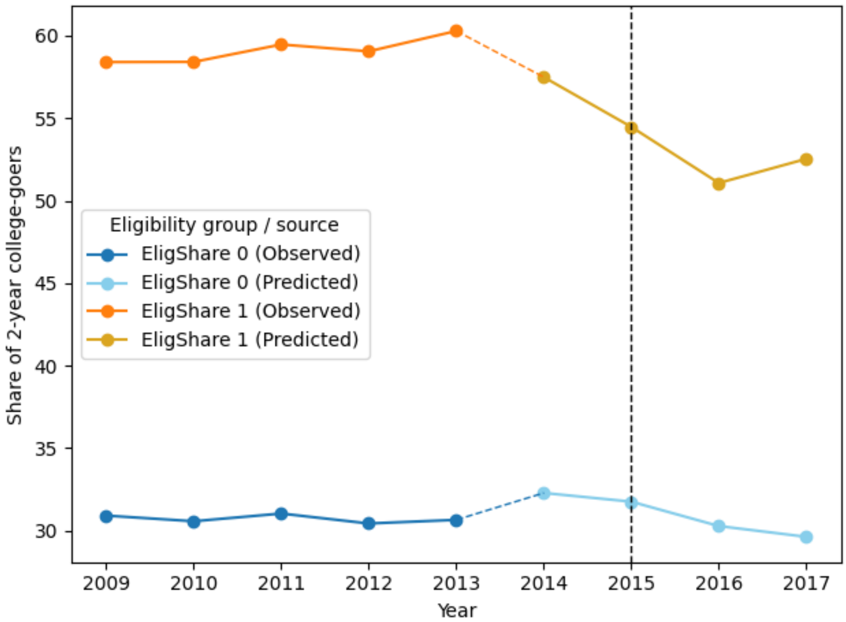

Figure 4: Trends in 2-year college enrolment rates by trends dummy

4 Results

On table 3, I present the results from the first differences-in-differences regression with SES-estimated in-state college rates. Given the deviation from our predicted and observed values, I restrict our regression to only cover the predicted values (2014-2017). I present the results in two forms: firstly, by intensity, where coefficients represent a one-unit difference in predicted in-state share; and by dummy, where the coefficients represent the difference between schools above and below 50% predicted in-state shares. From our results, we find no statistically significant effect of the debt-relief program on 4-year college going rates, but we do find a statistically significant effect on 2-year college going rates. Specifically, schools with over 50% estimated 2-year in-state college enrolment saw a 3.33 percentage point decrease in 2-year college going rates post debt relief, compared with those below 50% in-state enrolment. This effect comes out to a 0.0772 percentage point decrease per estimated percentage of in-state enrolment.

While it may seem unclear why a debt-relief program would decrease shares on 2-year college enrolment, one possible explanation is that our debt-relief program has a substitution effect. That is, low SES students, who are more likely to enrol in a 2-year college program than other students, respond to the debt-relief program by switching away from 2-year college and choosing more expensive options knowing they take less finan-

Table 3: Effect of debt relief on college-going, SES estimated treatment

	4-Year College	2-Year College
Intensity Estimates:		
Post × EligShare	-0.0142	-0.0772**
	(0.0301)	(0.0325)
Dummy Estimates:		
Post × EligShare	-0.7107	-3.3347**
	(0.9392)	(1.5885)

Notes: Covariates, and school/year fixed effects included in all specifications. Weighted least squares with weights equal to school graduate levels. Robust standard errors clustered at the school level in parentheses.
Significance levels: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

cial risk, such as a 4-year college program. Another possible explanation for these results is that the debt relief program pushed up costs for 2-year in-state schools generally to compensate for this program, discouraging lower SES students enrolling due to the higher cost. This explanation falls in line with the "Bennett Hypothesis", a well-known hypothesis proposed by William Bennett (1987) that argues increases in financial aid for university enable colleges to raise tuition costs for students.

On table 4, I present the results from the regression on our second in-state estimation method; that is, the average trend assignment. Here, given that our predicted estimates more closely follow the previous observed values, I include those years in our regression.

Table 4: Robustness check estimates, trends estimated treatment

	4-Year College	2-Year College
Post × EligShare	2.9058**	-2.4816*
	(0.9289)	(1.2874)

Notes: Covariates, and school/year fixed effects included in all specifications. Weighted least squares with weights equal to school graduate levels. Robust standard errors clustered at the school level in parentheses.
Significance levels: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Looking at the results, we observe that both our coefficients and both statistically significant with 4-year college shares seeing a 3 percentage point rise schools with high in-state shares relative to low in-state share schools post program, and 2-year college programs seeing an inverse 2.5 percentage point decrease in share. This would appear to provide evidence towards our first explanation, where students who otherwise enrol in 2-year college programs substitute for 4-year college programs given the lower financial burden and risk. Despite this, it again should be noted that at least for 2-year college programs, our pre-trends assumptions are on shakier grounds, and as such our estimates here aren't perfectly reliable. Nonetheless, it should be noted that our findings here are consistent with the estimates in our first regression under SES estimation.

5 Conclusion

In this paper, I study the effect of student-debt relief programs on the academic behaviour of students pre-college. I exploit in-state eligibility requirements and pre-policy in-state college share data to construct two separate estimates of in-state college shares that serve as a proxy for the treatment group. Upon running a two-way fixed effects differences-in-differences regression, I find mixed evidence that schools in the higher treatment expose saw increases in their share of 4-year college enrolment, while inversely saw decreases in their 2-year college enrolment.

However, it should be noted that there are limitations with our analysis. While our proxy does some effort to capture the treatment, it's not an ideal estimation of the treatment group and likely contains a lot of noise from students who go to out-of-state schools, or don't take out federal student loans and thus don't qualify for "Get On Your Feet". Furthermore, as mentioned before, both of our estimation methods for in-state enrolment suffer from endogeneity concerns. In our first estimation method using SES characteristics, we saw that our estimated treatment group heavily deviated in average college shares from our pre-policy observed treatment group. This would suggest that omitted variables about school and student characteristics, such as residency status or proximity of school to a public college, may affect in-state shares to the extent that it makes identification of the treatment through SES more challenging. Switching to our second regression using average pre-trends assignment, we observed that our results more closely followed pre-trend college shares, though the estimated trends for 2-year college programs appear to challenge our parallel trends assumption, putting their identification up to question despite the consistency of results with our first regression. Finally, considering that we don't follow students directly, and applications for "Get On Your Feet" are made post graduation, there is a worry that many students are unaware of the program when initially applying to college. Ideally, we would've had a randomized experiment where NY high schools students are randomly offered debt relief post-graduation. Another alternative pursued was to gather longitudinal data on students from high school to university and estimate through various covariates how their socio-economic characteristics correlates with in-state college going.

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